Northwind Labs — Employee Expense Policy

- Policy ID: 001
- Version: 1.0
- Effective Date: October 1, 2026
- Policy Owner: Finance Operations
- Applies To: All 300 employees of Northwind Labs
- Currency: USD
- Review Cycle: Annual

1. General

§1.1 Scope and Eligibility

This policy governs expenses incurred by Northwind Labs employees for legitimate company business.

- Expenses must have a documented business purpose.
- Expenses must be incurred by an active employee or an authorized company representative.
- Expenses exceeding $25 must identify the business purpose and associated project, customer, or department.
- Expenses must be submitted within 30 calendar days of the transaction date.
- Expenses submitted 31 to 60 calendar days after the transaction date require a written late-submission explanation and Manager approval.
- Expenses submitted more than 60 days after the transaction date are not reimbursable unless a VP approves an exception in writing.
- Finance Operations may request additional supporting documentation regardless of amount.
- Contractors and temporary workers are not explicitly covered by this policy.

§1.2 General Spending Standards

Employees are expected to use reasonable judgment when incurring company expenses.

- An employee may initiate a business expense up to $250 without advance approval, provided the expense complies with this policy and remains within the applicable monthly budget.
- Expenses greater than $250 require advance approval under §2.1.
- Expenses must be recorded in USD, using the transaction-date exchange rate where applicable.
- Sales tax and mandatory service charges count toward all applicable spending limits.
- Optional tips count toward the expense total.

- Purchases of personal goods, household items, or non-business services are prohibited.
- An expense that is within a dollar limit is not automatically eligible for reimbursement.

2. Approvals and Controls

§2.1 Approval Authority

Approval authority is determined by the approver's assigned role, not by department or tenure.

Role	Maximum approval authority per purchase
Employee	$0
Manager	$500
Director	$2,000
VP	$10,000

- Employees may initiate qualifying purchases up to $250 without advance approval but cannot formally approve their own reimbursements.
- Managers may approve purchases up to and including $500.
- Directors may approve purchases up to and including $2,000.
- VPs may approve purchases up to and including $10,000.
- Purchases greater than $10,000 require written CFO approval.
- All reimbursements require approval by an authorized person other than the claimant.
- Approval must be recorded before a purchase whenever advance approval is required.
- Retroactive approval does not guarantee reimbursement.
- An approver may not approve their own expenses, even when the amount falls within their authority.

§2.2 Purchase Aggregation and Split Transactions

Purchases may not be divided to circumvent approval or spending limits.

- Transactions relating to the same business requirement, vendor, or procurement decision within a rolling seven-day period must be evaluated for aggregation.
- Two $400 transactions for a single $800 purchase require Director approval, even if submitted separately.
- Transactions on separate cards or submitted by different employees may still constitute a split purchase.
- A suspected split purchase must be referred to Finance Operations before reimbursement.
- Finance Operations must document its determination within five business days of receiving the complete records.

- Deliberate splitting may result in denial of all related expenses.
- Recurring contractual payments made under a previously approved agreement are not automatically considered split purchases.

§2.3 Duplicate Submissions

The same underlying expense may be reimbursed only once.

- Claims with the same employee, vendor, amount, and transaction date must be flagged as potential duplicates.
- Claims with the same employee, vendor, and amount within seven calendar days must also be flagged for review.
- A previously approved or paid expense may not be submitted again.
- Rejected claims may be resubmitted within 15 days if corrected documentation is provided and the original claim is referenced.
- A pending claim must not be submitted a second time.
- Finance Operations must resolve potential duplicates before payment.
- Matching transaction details do not, by themselves, establish that two expenses are duplicates.

3. Travel

§3.1 Transportation

Business travel must use reasonably economical transportation.

- Domestic round-trip airfare is capped at $900.
- Economy class is required for flights shorter than six hours.
- Premium economy may be approved by a Director for flights of six hours or longer.
- Business class requires VP approval regardless of cost.
- Personal vehicle mileage is reimbursed at $0.67 per mile.
- Mileage claims must include origin, destination, date, and business purpose.
- Rental vehicles are limited to standard or intermediate class unless a Director approves an upgrade.
- Traffic fines, parking violations, and moving violations are not reimbursable.
- Travel bookings exceeding $2,000 require VP approval even if the individual fare is within the airfare cap.

§3.2 Lodging

Hotel accommodations must be appropriate for the business destination.

- Domestic lodging is limited to $220 per night before taxes.

- Lodging in designated high-cost markets may be reimbursed up to $325 per night.
- High-cost designation must be recorded by Finance Operations before booking.
- Room upgrades, minibars, movies, and personal services are not reimbursable.
- Stays exceeding five consecutive nights require Manager approval.
- Lodging above the applicable nightly cap requires Director approval before booking.
- Itemized hotel folios are required regardless of amount.
- This policy does not specify treatment of resort fees charged by otherwise compliant hotels.

§3.3 Travel Incidentals

Reasonable incidental expenses associated with approved travel may be reimbursed.

- Airport parking is limited to $35 per day.
- Taxi and rideshare expenses are limited to $100 per trip.
- Checked baggage fees are reimbursable up to $60 per flight segment.
- Laundry is reimbursable up to $30 per trip for travel lasting at least five nights.
- Personal entertainment and hotel gym fees are prohibited.
- Individual incidental expenses exceeding $100 require Manager approval.
- Claims must include travel dates and the associated business trip identifier.
- Expenses for accompanying family members are not covered.

4. Meals and Entertainment

§4.1 Employee Meals

Meals incurred during authorized business travel or approved working sessions may be reimbursed.

- Breakfast is limited to $25 per employee.
- Lunch is limited to $35 per employee.
- Dinner is limited to $60 per employee.
- The combined daily meal limit is $100 per employee.
- Taxes, tips, and nonalcoholic beverages count toward these limits.
- Tips exceeding 20% of the pretax bill are not reimbursable.
- Alcohol is limited to $20 per person per meal and is included within the applicable meal cap.
- Meals exceeding the $100 per person per day limit require Director approval.
- A Director may approve an exception to the meal cap but may not override prohibited-expense rules.

- Meals must identify attendees and business purpose when more than one employee is present.

§4.2 Client Entertainment

Meals and entertainment involving external clients or prospective customers may qualify for higher limits.

- Client meals are limited to $150 per attendee, including taxes and tips.
- Total client-entertainment expenses above $500 require Director approval.
- Total expenses above $2,000 require VP approval.
- Alcohol is limited to $30 per attendee and must remain within the $150 per-person cap.
- An itemized receipt and attendee list are required regardless of total expense.
- The business purpose must identify the client organization or prospective account.
- At least one external business attendee must be present.
- Internal team meals are not client entertainment.

Precedence: When an expense qualifies under both §4.1 and §4.2, §4.2 controls the per-person meal and alcohol limits. The general approval hierarchy in §2.1 still applies, and the more restrictive applicable approval requirement governs. Client entertainment cannot be used to reclassify a meal attended exclusively by employees.

§4.3 Team Events

Department-sponsored events may be reimbursed when intended for employee engagement or business collaboration.

- Team events are limited to $75 per attending employee.
- Each department may conduct no more than two reimbursable team events per calendar quarter.
- Events exceeding $500 in total require Director approval.
- Alcohol is limited to $20 per attendee.
- Gift cards and cash-equivalent prizes are not permitted under this category.
- A participant count, event purpose, and itemized receipt are required.
- Events must be charged to the hosting department's budget.
- The policy does not define how to allocate expenses for events jointly hosted by multiple departments.

5. Software and Technology

§5.1 Software Subscriptions

Software purchases must support approved business activities.

- Individual software subscriptions are limited to $150 per user per month.
- Subscriptions costing more than $150 per user per month require Director approval.
- Annual software commitments above $2,000 require VP approval.
- All new subscriptions require IT Security review before activation.
- Employees must provide the vendor name, product, billing frequency, number of seats, and business purpose.
- Subscriptions must use a company-managed account where supported.
- Personal streaming, gaming, and entertainment subscriptions are prohibited.
- Unused subscriptions must be reported for cancellation within 30 days of becoming unnecessary.
- Renewal costs count toward the software budget in the month charged.

§5.2 Hardware and Accessories

Company-funded hardware must be necessary for assigned work.

- Keyboards, mice, webcams, and similar accessories are limited to $250 per item.
- Monitors are limited to $500 each.
- Laptops and desktops require IT approval regardless of price.
- Hardware purchases exceeding $500 require Director approval.
- Hardware purchases exceeding $2,000 require VP approval.
- All company-funded equipment costing $250 or more must be entered into the asset register within 10 business days of receipt.
- Employees must provide an invoice showing the purchased items.
- Gaming consoles, personal phones, and non-business electronics are prohibited.
- This policy does not establish a replacement interval for existing equipment.

6. Professional Development

§6.1 Training and Certifications

Professional development must be relevant to an employee's current or reasonably anticipated responsibilities.

- Each employee has an annual training allowance of $1,500.
- The monthly training budget in §8.1 also applies. A purchase that fits within the annual allowance but would exceed the monthly budget requires Director approval under §8.1.
- Individual courses costing more than $500 require Manager approval.
- Certifications costing more than $750 require Director approval.

- Conferences costing more than $1,500 require VP approval.
- Reimbursement requires proof of purchase and evidence of registration or completion.
- Exam retakes are limited to one reimbursable retake per certification.
- Training subscriptions must not duplicate existing company licenses without IT approval.
- The annual allowance resets on January 1.
- Unused training allowance does not roll over.
- The policy does not define reimbursement eligibility for training started before employment.

7. Office and Remote Work

§7.1 Office Supplies

Reasonable supplies necessary for business operations may be reimbursed.

- Individual office-supply purchases are limited to $200.
- Purchases exceeding $200 require Manager approval.
- Furniture purchases exceeding $500 require Director approval.
- Supplies must be delivered to a company office or documented employee work location.
- Consumables must be for business use.
- Home decorations, personal stationery, and non-business household supplies are prohibited.
- Itemized documentation is required for purchases above $50.
- Furniture purchases must include a description of the business need.

§7.2 Remote Work Equipment

Eligible remote employees may purchase approved equipment for their home workspace.

- Employees are eligible for a one-time $600 remote-work setup allowance.
- The allowance may be used for desks, chairs, lighting, and ergonomic accessories.
- Purchases above $250 require Manager approval.
- Purchases above $500 require Director approval.
- Receipts are required for all allowance purchases.
- Equipment must be used primarily for company work.
- Internet service and residential utility bills are not covered by this section.
- The policy does not define how the allowance applies when an employee changes between remote and hybrid work arrangements.

8. Budgets and Financial Controls

§8.1 Monthly Category Budgets

Employees and departments must remain within their assigned monthly expense budgets.

Default monthly budgets per employee are:

Category	Monthly limit
meals	$300
travel	$2,000
software	$500
hardware	$1,000
training	$250
office_supplies	$200
client_entertainment	$1,000
team_events	$300

- Category budgets reset on the first calendar day of each month.
- Unused balances do not roll over.
- Pending and approved expenses count toward budget utilization until rejected or canceled.
- An expense that would exceed a category budget requires Director approval before purchase.
- A category overage greater than $1,000 requires VP approval.
- Budget exceptions must identify the affected category and amount of the projected overage.
- Category budgets do not replace per-transaction limits or other approval requirements.
- Finance Operations may assign department-specific budgets in writing.
- The policy does not establish whether employee-level and department-level budgets may be pooled.

§8.2 Reimbursement and Payment

Reimbursement requests must be submitted through the company expense system.

- Requests must be submitted within 30 calendar days of the transaction. Later submissions are handled under §1.1.
- Approved reimbursements are normally processed within 10 business days.
- Requests above $50 require an itemized receipt.
- Requests of $50 or less may use a card transaction record, provided the business purpose is documented.

- Missing receipts for expenses above $50 require a signed missing-receipt declaration and Manager approval.
- A missing-receipt declaration may be used no more than twice per employee per calendar quarter.
- Cash expenses exceeding $100 require Director approval.
- Reimbursement must be paid to the employee who incurred the expense unless Finance Operations authorizes an exception.
- Finance Operations may withhold payment pending clarification.

9. Prohibited Expenses and Exceptions

§9.1 Prohibited Expenses

The following expenses are not reimbursable unless an explicit exception is provided elsewhere in this policy.

- Personal clothing, cosmetics, toiletries, and household purchases.
- Traffic tickets, parking fines, penalties, and legal fines.
- Alcohol exceeding the applicable limits in §4.1, §4.2, or §4.3.
- Tobacco, recreational drugs, and gambling expenses.
- Personal subscriptions, entertainment services, and gaming purchases.
- Expenses for spouses, dependents, or personal guests.
- Donations to political campaigns.
- Cash gifts and gift cards.
- Personal medical expenses.
- Expenses involving fraudulent or materially inaccurate documentation.

Prohibited expenses must be rejected even when they fall within an employee's remaining budget or an approver's monetary authority.

§9.2 Exceptions and Unaddressed Cases

Exceptions are intended for legitimate business needs that cannot reasonably comply with a standard policy limit.

- Managers may approve exceptions only where explicitly authorized by another section.
- Directors may approve documented exceptions up to $2,000, except for prohibited expenses.
- VPs may approve documented exceptions up to $10,000, except for prohibited expenses.
- Exceptions above $10,000 require CFO approval.
- All exceptions must state the business justification, affected policy section, requested amount, and approving authority.

- Exceptions must be retained for three years.
- Approval of an exception does not establish a precedent for future requests.

This policy does not specifically address cryptocurrency payments, employee purchases of AI model API credits, international currency-conversion fees, carbon-offset purchases, or reimbursement of expenses incurred during personal travel that includes incidental company work. Such requests must be flagged for Finance Operations review rather than automatically approved or denied solely because the expense type is not described here.